No. _____

**IN THE SUPREME COURT OF THE STATE OF HAWAII**
(NO. CAAP-22-0000441 in the Intermediate Court of Appeals)

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| BOOKING.COM B.V.,<br>Petitioner/Appellant,<br>vs.<br><br>GARY S. SUGANUMA, in his official capacity as the Director of Taxation, and STATE OF HAWAII DEPARTMENT OF TAXATION,<br><br><br><br>Respondents/<br>Appellees. | ) | CIVIL NO. 19-1-0107-01 (GWBC)<br>APPEAL FROM:<br>ORDER GRANTING DEFENDANTS ISAAC W. CHOY, in his official capacity as the Director of Taxation and STATE OF HAWAII'S MOTION TO DISMISS COMPLAINT, FILED MARCH 14, 2022, ENTERED JUNE 13, 2022 [Dkt.291]<br><br>Circuit Court of the First Circuit,<br>State of Hawaii<br><br>Gary W.B. Chang, Honorable Judge |

**PETITIONER/APPELLANT BOOKING.COM B.V'S APPLICATION FOR WRIT OF CERTIORARI; APPENDICES 1-2; CERTIFICATE OF SERVICE**

**CHUN KERR LLP**
a Limited Liability Law Partnership

**NATHANIEL A. HIGA 9064-0**
999 Bishop Street, Suite 2100
Honolulu, HI 96813
Tel. 528-8200 / Fax: 536-5869
Email: nhiga@chunkerr.com
Attorneys for Petitioner/Appellant
BOOKING.COM B.V.

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**PETITIONER/APPELLANT BOOKING.COM B.V'S APPLICATION FOR WRIT OF CERTIORARI**

Petitioner/Appellant/Plaintiff Booking.com B.V. ("Booking.com" or "Petitioner"), respectfully submits this Application for Writ of Certiorari, seeking review of a Summary Disposition Order ("ICA Decision") of the Intermediate Court of Appeals ("ICA") filed in CAAP-22-0000441 on May 7, 2025 [Dkt. 105] (attached as Appendix 1) and the related Judgment on Appeal ("Judgment") filed June 4, 2025 [Dkt. 107] (attached as Appendix 2), pursuant to Hawaii Revised Statutes ("HRS") §602-59 and Rule 40.1 of the Hawaii Rules of Appellate procedure.

## I. QUESTION PRESENTED

Whether the Hawaii State Circuit Court lacks jurisdiction to hear Petitioner's challenge, made under Chapter 91 of the Hawaii Administrative Procedures Act ("HAPA"), to the validity of Hawaii Administrative Rule ("HAR") § 18-237-29.53-10(a)(3) (the "Rule") by application of HRS § 632-1's restriction that there be no declaratory relief as to any controversy with respect to taxes. The ICA's Order creates inconsistencies in the application of HRS § 91-7 as it applies to the Department's[1] rulemaking under HAPA by incorrectly concluding that all challenges to such rules are precluded by HRS § 632-1. The ICA decision creates a grave error of law by effectively exempting all administrative rules promulgated by the Department from challenges under HAPA. The ICA decision also incorrectly interprets the plain language of, and case law surrounding, HRS § 632-1 with regard to challenges to the validity of tax rules.

[1] Respondents/Appellees/Defendants Gary S. Suganuma, in his official capacity as Director of Taxation, and the State of Hawai'i Department of Taxation ( together, "Department"). Gary S. Suganuma, the current director of taxation, is substituted pursuant to HRAP Rule 43(c)(1).

## II. STATEMENT OF PRIOR PROCEEDINGS

Petitioner brought this action as an "interested person" to make a facial challenge to the Rule pursuant to HRS § 91-7 on January 18, 2019 (the "91-7 Action"). CC Dkt. 2 at 2, ¶ 5 (Complaint).[2] Petitioner argued that the Rule was invalid because it "violates … statutory provisions" – namely, the Internet Tax Freedom Act, 47 U.S.C. § 151 ("ITFA"). (Id., at ¶ 5.)

On February 25, 2019, the Department filed its Motion to Dismiss Complaint (the "Original Motion"). CC Dkt. 6. In seeking dismissal, the Department, in part, argued that the circuit court lacked subject matter jurisdiction. CC Dkt. 6 at 5. Specifically, the Department argued that the circuit court was "prohibited from granting declaratory relief in any case or controversy involving taxes pursuant to HRS § 632-1 and HRCP Rule 57." Id. The Department argued that Petitioner's Complaint "must be dismissed as it seeks a declaratory judgment in a controversy involving taxes and is thus specifically barred by statute and rule." Id at 8. This argument was further articulated in the Department's Reply (CC Dkt. 8) and Supplemental Reply (CC Dkt. 12) submitted in support of the Original Motion.

The circuit court, Honorable James H. Ashford, heard argument on the Department's Original Motion and denied it, ruling as follows: "[A]s to the big issue, the subject matter jurisdiction under HRS 632-1 … I believe that the court does have jurisdiction pursuant to 91-7." ICA Dkt. 28 at 12:13-17 (6/27/19 Tr.). On July 16, 2019, the circuit court entered an order denying the Original Motion. CC Dkt. 13 (7/16/19 Order).

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[2] Unless otherwise specified, docket references refer to the circuit court docket numbers provided in the electronic Record on Appeal filed herein at ICA Dkt. No. 32 on 9/7/22 and Supplemental Record on Appeal filed at ICA Dkt. 73 on 2/22/23 and are cited as CC Dkt. __[Circuit Court Docket number] at __[.pdf page number, if applicable] [description of document, as applicable].

Over the ensuing months and years, the Department initiated tax enforcement proceedings that resulted in the issuance of a Notice of Final Assessment of General Excise and/or Use Tax being issued to Booking.com by the Department on November 10, 2021. See CC Dkt. 265 at 10-24 (Ex. 1 to 3/14/22 Motion to Dismiss [CC Dkt. 257-265]). Booking.com filed a Notice of Appeal to Tax Appeal Court on December 9, 2021. CC Dkt. 265. That action remains pending before the Tax Appeal Court.

At the court's own initiative, on February 14, 2022, the 91-7 Action was reassigned from Judge Ashford, Judge of the Tenth Division, to the Honorable Gary W.B. Chang, Judge of the Fourteenth Division.[3] See CC Dkt. 235 (2/14/22 Order).

A month after the case was reassigned, on March 14, 2022, the Department filed its second Motion to Dismiss Complaint (the "Second Motion"). CC Dkt. 257-265. Echoing the Original Motion, the Department once again asserted that the circuit court "should dismiss this case because it lacks subject matter jurisdiction over this declaratory relief action." CC Dkt. 257 at 5 (3/14/22 Motion). Specifically, the Department again argued that the circuit court was "prohibited from granting declaratory relief" in this action "pursuant to HRS § 632-1 and HRCP Rule 57." (Id.) The arguments were precisely those the Department made in its Original Motion (CC Dkt. 6) that was rejected by Judge Ashford. CC Dkt. 13 (7/16/19 Order).

The Department's Second Motion was heard by the circuit court on May 10, 2022. [CC Dkt. 279]. At that hearing, the court ruled as follows: "the court will conclude that this court does not have jurisdiction over the subject matter in this case and therefore the court will dismiss without prejudice the instant case." See ICA Dkt. 40 at 14:3-6 (5/10/22 Tr.). The court entered an

[3] Judge Chang was also the Tax Appeal Court Judge at the time of the transfer of the 91-7 Action.

order on June 13, 2022, granting the Department's Motion to Dismiss, and dismissing the action without prejudice. CC Dkt. 291 (6/13/22 Order) (Appendix H to ICA Dkt. 51).

Petitioner filed its Notice of Appeal from the 6/13/22 Order on July 13, 2022.[4] ICA Dkt 1. Petitioner's Opening Brief was filed on November 14, 2022. ICA Dkt 51. In its Opening Brief, Petitioner asserted that the finding on no jurisdiction by the circuit court was error, generally arguing that its suit was not barred by HRS § 632-1 because a facial challenge to the constitutionality of an administrative rule, even one promulgated by the Department, is not a controversy related to taxes. The Department's Answering Brief was filed on March 23, 2023. ICA Dkt. 77. The Department argued for a broad reading of HRS § 632-1 and that the pending tax appeal supported a finding of no jurisdiction. Petitioner's Response Brief was filed on April 17, 2023. ICA Dkt. 86. Petitioner reiterated that the 91-7 Action was the proper vehicle for a facial challenge to the Rule because a tax appeal would involve an "as applied" challenge and that applicable case law related to HRS § 632-1 does not support a finding of no jurisdiction. No oral argument was held. ICA Dkt. 103. The ICA issued its Summary Disposition Order on May 7, 2025. ICA Dkt. 105 (App. 1).

Broadly, the ICA determined that (1) Petitioner was making an as applied challenge in the 91-7 Action, which would be required for it to have standing in the first place, and (2) that such a challenge would interfere with the assessment and collection of taxes making dismissal for lack of jurisdiction appropriate. Judgment on Appeal was filed on June 4, 2025. ICA Dkt. 107 (App. 2). As explained herein, the ICA Decision (App. 1) ignores the fact that actions under HRS § 91-7 are by their nature facial challenges, not as applied challenges, and that facial challenges

[4] On January 11, 2023, the ICA ordered a temporary remand for purposes of instructing the Circuit Court to reduce the 6/13/22 Order to a Final Judgment. ICA Dkt 65. Final Judgment was entered on January 24, 2023. CC Dkt. 310.

to the validity of rules are not, under applicable case law, actions that interfere with the assessment or collection of tax.

## III. STATEMENT OF THE CASE

In December 2017, the Department promulgated amendments to Chapter 18-237, Hawai‘i Administrative Rules, which sets forth rules governing the General Excise Tax Law, codified at HRS Chapter 237, et seq. Specifically, the Department added new §§ 18-237-29.53-01 through 53-13 to the HAR, and repealed §§ 18-237-8.6-04 and 18-237-8.6-07.[5] HAR § 18-237-8.6-04 was entitled "Allocation of gross income from commissions." That rule stated that "commission income … shall be allocated to … [where] the services are rendered by the [commissioned agent]." See HAR § 18-237-8.6-04 (repealed). The examples provided to illustrate the rule made clear that commission services were used or consumed where the services were rendered. Id., Exs. 1 and 2.[6]

HAR § 18-237-29.53-10(a) replaced HAR § 18-237-8.6-04, and is entitled "Services performed by commissioned agents."[7] That section begins by setting forth the longstanding general rule that "services performed by a commissioned agent are used or consumed where the agent is located at the time the agent's services are performed." HAR § 18-237-29.53-10(a).[8] This general rule keeps in place the "where the services are rendered" standard that had existed

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[5] The Amendments went into effect on March 29, 2018.

[6] The following statutes, rules and regulations are set out verbatim in the appendices at ICA Dkt. 51, as follows: HRS § 91-7 (Appendix A); HRS § 632-1 (Appendix B); HAR § 18-237-8.6-04 (repealed) (Appendix C); HAR § 18-237-29.53-01 (Appendix D); HAR § 18-237-29.53-10 (Appendix E); HRCP Rule 57 (Appendix F); and 47 U.S.C. § 151 ("IFTA") (Appendix G).

[7] A "commissioned agent" is defined, in part, as "an agent that … sells, books, or arranges transient accommodations or travel-related bookings on behalf of a principal, with the principal's assent, for a predetermined fee." HAR § 18-237-29.53-01(3).

[8] All emphasis in quoted material is added unless otherwise indicated.

in HAR § 18-237-8.6-04. However, the amendment also sets forth new exceptions to that general rule. One such exception is the Rule challenged here, which provides that "when transient accommodations or travel-related bookings are sold, purchased, or arranged online through a commissioned agent, the agent's service is used or consumed where the transient accommodation or travel-related booking is located." HAR § 18-237-29.53-10(a)(3).

Thus, for certain commissioned agents, those who allow travelers to book travel online, the Rule shifts the focus from where the agent rendered its service to where the transient accommodation or travel-related booking is located.

Petitioner is a resident of the Netherlands, with its headquarters in Amsterdam. CC Dkt. 2 at 2, ¶ 1 (Complaint). Petitioner operates an online platform – www.booking.com – from outside the State (specifically, from its offices in the Netherlands), for use of which it is paid commissions by accommodation providers – including accommodation providers in Hawai‘i. CC Dkt. 2 at 2-3, ¶¶ 7-8 (Complaint).

Pursuant to HRS § 91-7, Petitioner filed the action below in 2019, challenging the validity of the Rule. Adhering to HRS § 91-7's express terms, Petitioner's challenge is premised on a conflict between the Rule and the IFTA, which, in part, forbids discrimination against electronic (online) commerce.

Like every state agency in Hawai‘i with statutory rulemaking authority, the Department must promulgate rules in accordance with HAPA, HRS § 91-1, et seq. However, the Department asserts that it is immune from the statutory check on the exercise of its rulemaking authority – namely, a challenge pursuant to HRS § 91-7. Specifically, the Department asserts that because all of its rules necessarily relate to the assessment or collection of tax, any challenge to the validity of one of its rules is barred pursuant to HRS § 632-1 and Hawai‘i Rules of Civil

Procedure ("HRCP") Rule 57, which provide that declaratory relief may not be obtained in any controversy with respect to taxes. Thus, the Department asserts that, pursuant to HRS § 632-1 and HRCP Rule 57, the circuit court does not have subject matter jurisdiction to hear a challenge to the validity of the Rule – or, effectively, any other Department rule –pursuant to § HRS 91-7.

The circuit court rejected the Department's initial motion to dismiss for lack of subject matter jurisdiction. However, after the case was reassigned, the circuit court reversed course and granted a second motion to dismiss on that ground. The ICA has affirmed the circuit court's dismissal for lack of jurisdiction. Petitioner seeks reversal of the decisions dismissing the action for lack of subject matter jurisdiction, and a remand for further proceedings.

## IV. ARGUMENT

A circuit court's ruling on a motion to dismiss is reviewed de novo. Ryan v. Herzog, 142 Haw. 278, 284, 418 P.3d 619, 625 (2018), citing Wright v. Home Depot U.S.A., Inc., 111 Haw. 401, 406-07, 142 P.3d 265, 270-71 (2006) and Kamaka v. Goodsill Anderson Quinn & Stifel, 117 Haw. 92, 104, 176 P.3d 91, 103 (2008). Statutory interpretation is a question of law reviewed de novo. Id., quoting Kaleikini v. Yoshioka, 128 Haw. 53, 67, 283 P.3d 60, 74 (2012). Whether a court possesses subject matter jurisdiction is a question of law reviewable de novo. Hamilton v. Lethem, 119 Haw. 1, 5, 193 P.3d 839, 842-43 (2008), quoting Kaho'Ohanohano v. Dep't of Human Servs., 117 Haw. 262, 281, 178 P.3d 538, 557 (2008).

The Hawai'i Supreme Court has set forth the standard of review regarding motions to dismiss for lack of subject matter jurisdiction:

> Our review of a motion to dismiss for lack of subject matter jurisdiction is based on the contents of the complaint, the allegations of which we accept as true and construe in the light most favorable to the plaintiff[s]. Dismissal is improper unless it appears beyond doubt that the plaintiffs can prove no set of facts in support of [their] claim which would entitle [them] to relief.

Yamane v. Pohlson, 111 Haw. 74, 81, 137 P.3d 908, 987 (2006).

The Hawaii Supreme Court reviews matters that present "grave errors of law or of fact" or "inconsistencies in the decision of the intermediate court of appeals with that of the supreme court." HRS § 602-59. As outlined below, the ICA Decision (App. 1) presents both a grave error of law and an inconsistency with the prior decisions of this Court.

**A. The Chapter 91-7 Action and Tax Appeal are Fundamentally Different.**

The ICA decision argues that Booking.com does, in fact, seek a ruling regarding the application of the Rule to Booking.com in the 91-7 Action despite Petitioner's assertion to the contrary. The ICA Decision indicates a misapprehension of the difference between a "facial" constitutional challenge and an "as applied" challenge. An action under HRS § 91-7 is by definition a facial challenge. As such, the ICA Decision is premised on a grave error of law.

Petitioner's 91-7 Action is a facial challenge. In such a challenge, the issue is not whether the Rule is unconstitutionally applied to Booking.com. The issue is whether the Rule, on its face and without regard to any particular application, is constitutional. Booking.com has argued that the Rule is facially invalid because it purports to subject online activity to different tax treatment than the same activity would receive when not done online. Barring such discrimination is the very purpose of the ITFA. As such, the ruling Booking.com seeks in the 91-7 Action is that the Rule is constitutionally void entirely – not that the rule cannot be applied to Booking.com in particular. Puana v. Sunn, 69 Haw. 187, 189 737 P.2d 867, 869 (1987) (confirming that facial challenges are the only challenges available under HRS § 91-7, because while the statute "does not give the circuit court jurisdiction to hear a challenge to the application of a rule, it clearly does provide for attacks on a rule's validity."). See Asato v. Procurement Policy Bd., 132 Hawaii

333, 343, 322 P.3d 228, 238 (2014) ("HRS § 91-7 does not give the circuit court jurisdiction to hear a challenge to the application of a rule but instead allows for attacks on a rule's validity.").

In contrast, in a tax appeal, the taxpayer must show that the rule it seeks to avoid was applied as a basis for the assessment by the Department in order to obtain a ruling on the constitutionality of the rule. HRS § 232-16. See also In re Aloha Airlines, 65 Haw. 1, 11, 647 P.2d 263, 270, (1982) (noting taxpayer's constitutional challenge of a statute "as it has been applied to inter-island air carriers), rev'd on other grounds, 464 U.S. 7, 78 L. Ed. 2d 10, 104 S. Ct. 291 (1983). This distinction also explains why under HRS § 91-7 any "interested person" may challenge an administrative rule. Asato, at 343, 322 P.3d at 238. Under Section 91-7, a taxpayer need not wait until it is assessed tax and it can file a tax appeal to challenge an administrative rule. Rather, the interested person can make a facial challenge without having been issued an assessment for tax liability. This is because, as Asato makes clear, the "interested person" requirement for standing does not require that the plaintiff have an injury in fact. Id. at 341, 322 P.3d at 236. Rather, any "stake" in the outcome evidenced by interests that "may have been adversely affected" is enough for standing under HRS § 91-7. Id. at 342, 322 P.3d at 237.

Therefore, Booking.com need not make an "as applied" challenge to the Rule in order to meet the standing requirements under HRS § 91-7, as that would indicate the need for injury in fact. ICA Decision at 5 (App. 1). Rather, it is enough that Booking.com argue that the Rule "may" have an adverse impact on it and then make a facial challenge to the Rule. That is what Booking.com did in the court below and its challenge should have been allowed to go forward.[9]

[9] The facial vs. as applied distinction also explains why Booking.com's challenge to the Rule in a tax appeal does not render the 91-7 action moot. See ICA Decision at 6, n.6.(App. 1) Booking.com can make an as applied challenge in Tax Appeal Court, but is making a facial challenge in the 91-7 Action. The challenges are not identical or duplicative.

**B. The Plain Language of HRS § 632-1 Provides that It Does Not Restrict 91-7 Actions**

The ICA Decision, after improperly characterizing Petitioner's challenge to the Rule under HRS § 91-7 as an "as applied" challenge, finds that the suit lacks jurisdiction because it is barred by HRS § 632-1 as a "controversy with respect to taxes." ICA Decision at 4-6 (App. 1). However, HRS 632-1(a) states in its entirety:

> In cases of actual controversy, courts of record, within the scope of their respective jurisdictions, shall have power to make binding adjudications of right, whether or not consequential relief is, or at the time could be, claimed, and no action or proceeding shall be open to objection on the ground that a judgment or order merely declaratory of right is prayed for; provided that declaratory relief may not be obtained in any district court, or in any controversy with respect to taxes, or in any case where a divorce or annulment of marriage is sought. Controversies involving the interpretation of deeds, wills, other instruments of writing, statutes, municipal ordinances, and other governmental regulations may be so determined, and this enumeration does not exclude other instances of actual antagonistic assertion and denial of right.

While the ICA focused on the language barring declaratory relief in "controversies with respect to taxes," the last sentence of the statute was ignored. There, the legislature confirmed that all controversies involving the interpretation of a statute, ordinance, or government regulation "may be so determined." Id. Under HRS § 91-7, any "judicial declaration as to the validity of an agency rule," by its very nature involves the interpretation of the agency rule and is therefore expressly allowed under HRS 632-1.

**C. Cases Decided By This Court Conflict with the ICA Decision**

This Court decided Tax Foundation of Haw. v. State, 144 Haw. 175, 439 P.3d 127 (2019) under circumstances similar to those at issue here. In that case, Tax Foundation challenged the State of Hawaii's use of HRS § 248-2.6 as it related to the General Excise Tax County surcharge. Id., at 184, 439 P.3d at 136. The State argued for dismissal under HRS § 632-1 on the basis that

the case amounted to a controversy with respect to taxes. Id. at 184-85, 439 P.3d at 136-37. In resolving the case in favor of Tax Foundation and finding jurisdiction for the challenge to the statute notwithstanding HRS § 632-1, this Court considered cases applying the federal Declaratory Judgment Act (28 U.S.C. § 2201), which HRS § 632-1 was designed to "mirror." Id. at 187, 439 P.3d at 139. This Court then considered the case of Cohen v. United States, 650 F.3d 717, 719 (D.C. Cir. 2011), which involved a challenge to a rule promulgated by the IRS that delineated the "refund procedure" whereby taxpayers might recoup money from an illegal tax. Id.

In Cohen, the IRS's rule was called "Notice 2006-50," and it purported to establish a procedure for refunds of illegally collected telephone excise taxes. Similar to this case, Plaintiffs challenged Notice 2006-50 under the provisions of the Administrative Procedures Act ("APA"), 5 U.S.C. § 551 et seq. Id., at 721. The Cohen court determined that the challenge did "not seek to restrain the assessment or collection of any tax." Id. at 725. Moreover, similar to the ICA here,[10] the IRS argued that any challenge to the "single mechanism" involving "assessment and collection" would violate the federal Declaratory Judgment Act. Id. at 726. The DC Circuit responded that "'[A]ssessment' is not 'synonymous with the entire plan of taxation,' but rather with 'the trigger for levy and collection efforts,' and 'collection' is the actual imposition of a tax against a plaintiff, and does not concern third-parties trying to contest the validity of a tax or to stop its collection." Id. (internal citations omitted). Therefore, Petitioner's facial challenge to the Rule here, which relates to the sourcing of travel agent commissions earned from services performed online, does not interfere with either the assessment or collection of tax because it

[10] Positing that if Booking.com was successful in declaring the Rule void, "it would restrain and interfere with the assessment or collection of taxes." ICA Decision at 5 (App. 1).

does not relate to the trigger for levy or the actual imposition of a tax. Rather, it contests the validity of a tax administrative rule, which is the exact purpose of HRS § 91-7. Petitioner's claim is therefore not restrained by the provisions of HRS § 632-1.

## V. CONCLUSION

Booking.com respectfully asks this Court to grant this application for a writ of certiorari.

DATED: Honolulu, Hawaii, August 6, 2025.

**CHUN KERR LLP**

/s/ *Nathaniel A. Higa*
NATHANIEL A. HIGA

of Chun Kerr LLP
a Limited Liability Law Partnership
Attorney for Petitioner/Appellant/Plaintiff
BOOKING.COM B.V.